



RESTRUCTURING • INSIGHT

Reading the Early Warning Signs of Distress Before a Workout Becomes a Filing

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By the time a company is discussing bankruptcy with counsel, most of its negotiating leverage is already gone. The businesses that come out of distress intact are almost always the ones that started the conversation months earlier.

Liquidity stress shows up in the numbers months early

Stretching payables, drawing down a revolver further each quarter, and slipping covenant headroom are all visible well before a genuine liquidity crisis. Management teams that treat these as one-off blips rather than a pattern lose the months they needed most.

“Lenders are consistently more flexible before a breach than after one, that's the entire difference.”

Covenant conversations are easier before a breach

Lenders are consistently more flexible in a proactive conversation about a likely future breach than in a reactive one after it has already happened. The former is a negotiation. The latter is a default with a negotiation attached.

Bringing in counsel early changes the leverage entirely

Restructuring counsel engaged early can help shape the narrative to lenders, structure a standstill, and preserve options that simply are not available once a filing is imminent and everyone at the table knows it.

None of this requires a company to be in crisis to make the call. The earlier the conversation, the more it looks like planning and the less it looks like triage.

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